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Issues and Challenges of Regulating Online banking

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Abstract

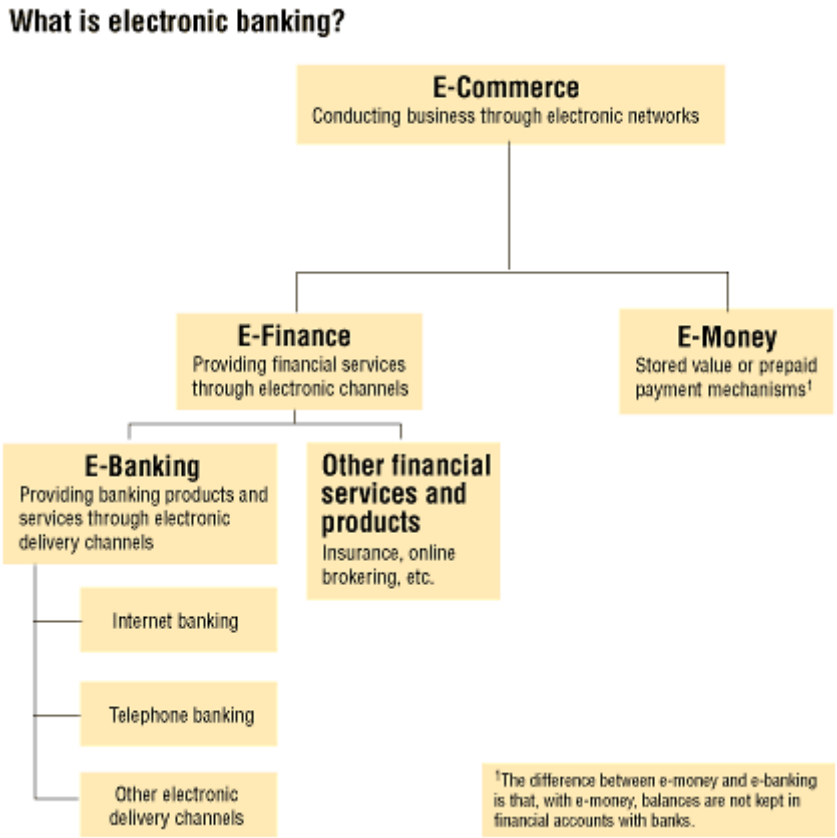
Electronic banking is the wave of the future. It provides enormous benefits to consumers in terms of the ease and cost of transactions. But it also poses new challenges for country authorities in regulating and supervising the financial system and in designing and implementing macroeconomic policy. Through the use of Internet banking, the Indian financial system has the potential to become cashless. Internet banking is often referred to as "e-banking, online banking, virtual banking", or other similar terms. An "electronic payment system" that allows clients of banks or other Banking organizations to undertake a variety of financial operations.

The number of online banking scams in India has skyrocketed in recent years. At present, there is insufficient Internet banking legislation in India. Even though the RBI has published some instructions in this area at the most recent opportunity, they are inadequate to ensure that banks adhere to rigorous and necessary cyber safety procedures.

Introduction

The abbreviation for financial technology, refers to a sector made up of businesses that technology, refers to a sector made up of businesses that supply financial services effectively through the use of technology. In the twenty-first century, it is an emerging sort of service. By implementing technology in the financial sectors for mobile payments, loans, money transfers, and even asset management, new start-up businesses are attempting to replace the conventional
transaction system with modern, efficient techniques. Peer-to-peer lending, peer-to-peer payment technologies, digital wallets, blockchain, and mobile banking are a few further examples of how technology is being used in financial transactions. These seek to expand the benefits and achieve high financial transaction efficiency.

This paper talks about the most recent developments in Internet banking, including cyber security issues, as well as its benefits and downsides. It also talks about the regulatory framework in place in India to protect customers from cybercrime and identity theft.



Electronic banking also makes it easier for customers to compare banks' services and products, can increase competition among banks, and allows banks to penetrate new markets and thus expand their geographical reach. Some even see electronic banking as an opportunity for countries with underdeveloped financial systems to leapfrog developmental stages. Customers in such countries can access services more easily from banks abroad and through wireless communication systems, which are developing more rapidly than traditional "wired" communication networks.

Internet Banking Versus Traditional Banking

The old banking system required a customer to be physically present at the bank's branch locations for several years before an account could be opened. Individual to individual engagement is provided by conventional banking. Conventional banks have a number of problems, including a set timetable, unsuitable locations, and a restricted range of financial goods. When using online banking, the quickest and most convenient way to start a savings account is to connect it to an already existing account. It is possible to complete business transactions with a 116 Kurukshetra Law Journal [Vol. XI
single "click." Users may still handle any accounts while remaining at home since there is no verbal contact required and no big lines at the counter. When compared to traditional banking,“internet banking is easier, more convenient, and more flexible. It also has more services available 24 hours a day, seven days a week, and” is more flexible.

Advantages of Internet Banking:

Convenience: This would be the absolute most essential advantage of online banking, and it outweighs any disadvantages. Performing money transfers from the convenience of one's own home or workplace at the touch of a button, without ever having to leave the house, is a convenience that no one would want to do without.

Higher Interest Rates: Because online banking requires less physical effort on the part of the bank, the banks stand to earn greatly from the usage of the service. With the reduction in the need to expand office space and hire additional people to deal with clients, banks will see a major reduction in their operating costs, resulting in a net financial benefit.

Services: Technology is making it exceedingly simple for both the bank and the consumer to have access to an incredible number of amazing services by just signing in. They include financial management capabilities, properly functioning budgetary and predicting tools, loan calculators and investment analytical techniques.

Mobility: Internet banking has advanced significantly in recent years, with the introduction of mobile internet banking, which provides customers with almost limitless mobility, allowing them to do banking transactions even when on the go.

Disadvantages of Internet Banking:

Banking Relationships: Online transactions have a negative impact on the connection that a customer has with their banker, which was formerly fostered via a typical visit to the branch office. The manager had a wide range of discretionary rights, such as the ability to waive punitive interest or service fees, which were often abused by employees who had a greater understanding of the company's policies.

Complicated transactions: The presence of complicated transactions that cannot be resolved without a face-to-face conversation with a manager, which is not feasible via online banking, raises the question of whether internet banking is a good option. Many complicated service problems cannot be resolved because online communication is neither clear nor focused. Certain services, such as notarization and bank signature assurance, are not available for completion via the internet.

Security: This is the most serious flaw in the online banking system, and it is the one that the average client must be on the lookout for. Identity theft is another another major source of worry for consumers who do all of their financial transactions over the internet4. In order to combat identity theft, most banks have made it essential to post scanned copies of cleared checks on their websites.

New challenges for regulators

This changing financial landscape brings with it new challenges for bank management and regulatory and supervisory authorities. The major ones stem from increased cross-border transactions resulting from drastically lower transaction costs and the greater ease of banking activities, and from the reliance on technology to provide banking services with the necessary security.

Regulatory risk. Because the Internet allows services to be provided from anywhere in the world, there is a danger that banks will try to avoid regulation and supervision. What can regulators do? They can require even banks that provide their services from a remote location through the Internet to be licensed. Licensing would be particularly appropriate where supervision is weak and cooperation between a virtual bank and the home supervisor is not adequate. Licensing is the norm, for example, in the United States and most of the countries of the European Union. A virtual bank licensed outside these jurisdictions that wishes to offer electronic banking services and take deposits in these countries must first establish a licensed branch.

Legal risk. Electronic banking carries heightened legal risks for banks. Banks can potentially expand the geographical scope of their services faster through electronic banking than through traditional banks. In some cases, however, they might not be fully versed in a jurisdiction's local laws and regulations before they begin to offer services there, either with a license or without a license if one is not required. When a license is not required, a virtual bank—lacking contact with its host country supervisor—may find it even more difficult to stay abreast of regulatory changes. As a consequence, virtual banks could unknowingly violate customer protection laws, including on data collection and privacy, and regulations on soliciting. In doing so, they expose themselves to losses through lawsuits or crimes that are not prosecuted because of jurisdictional disputes.

Operational risk. The reliance on new technology to provide services makes security and system availability the central operational risk of electronic banking. Security threats can come from inside or outside the system, so banking regulators and supervisors must ensure that banks have appropriate practices in place to guarantee the confidentiality of data, as well as the integrity of the system and the data. Banks' security

practices should be regularly tested and reviewed by outside experts to analyze network vulnerabilities and recovery preparedness. Capacity planning to address increasing transaction volumes and new technological developments should take account of the budgetary impact of new investments, the ability to attract staff with the necessary expertise, and potential dependence on external service providers. Managing heightened operational risks needs to become an integral part of banks' overall management of risk, and supervisors need to include operational risks in their safety and soundness evaluations.

Reputational risk. Breaches of security and disruptions to the system's availability can damage a bank's reputation. The more a bank relies on electronic delivery channels, the greater the potential for reputational risks. If one electronic bank encounters problems that cause customers to lose confidence in electronic delivery channels as a whole or to view bank failures as system wide supervisory deficiencies, these problems can potentially affect other providers of electronic banking services. In many countries where electronic banking is becoming the trend, bank supervisors have put in place internal guidance notes for examiners, and many have released risk-management guidelines for banks.

Cyber Risks: A Critical Risk of Decentralized Finance

Cyber attacks increased substantially in mid-2021 and remain elevated. The attacks are associated mostly with compromised wallet keys, vulnerabilities in computer code, and scams by developers. Cyber attacks cause large and often persistent losses. An event analysis shows a substantially adverse impact of cyber attacks on the excess growth of total value locked that represents the total value of crypto assets supplied to the platform, most of which are deposits. The estimate suggests that, in most cases, 30 percent of the total value locked is lost or withdrawn. Cyber attacks not only steal assets but also undermine the reputation of a platform, often triggering withdrawals by depositors as they fear not being able to redeem their deposits.27 As indicated by the lower tail of the inter quartile range, an entire platform can collapse in the aftermath of an attack.

Regulatory tools

There are four key tools that regulators need to focus on to address the new challenges posed by the arrival of e-banking.

Adaptation. In light of how rapidly technology is changing and what the changes mean for banking activities, keeping regulations up to date has been, and continues to be, a far-reaching, time-consuming, and complex task. In May 2001, the Bank for International Settlements issued its "Risk Management Principles for Electronic Banking," which discusses how to extend, adapt, and tailor the existing risk-management framework to the electronic banking setting. For example, it recommends that a bank's board of directors and senior management review and approve the key aspects of the security control process, which should include measures to authenticate the identity and authorization of customers, promote non repudiation of transactions, protect data integrity, and ensure segregation of duties within e-banking systems, databases, and applications. Regulators and supervisors must also ensure that their staffs have the relevant technological expertise to assess potential changes in risks, which may require significant investment in training and in hardware and software.

Legalization. New methods for conducting transactions, new instruments, and new service providers will require legal definition, recognition, and permission. For example, it will be essential to define an electronic signature and give it the same legal status as the handwritten signature. Existing legal definitions and permissions—such as the legal definition of a bank and the concept of a national border—will also need to be rethought.

Harmonization. International harmonization of electronic banking regulation must be a top priority. This means intensifying cross-border cooperation between supervisors and coordinating laws and regulatory practices internationally and domestically across different regulatory agencies. The problem of jurisdiction that arises from "borderless" transactions is, as of this writing, in limbo. For now, each country must decide who has jurisdiction over electronic banking involving its citizens. The task of international harmonization and cooperation can be viewed as the most daunting in addressing the challenges of electronic banking.

Integration. This is the process of including information technology issues and their accompanying operational risks in bank supervisors' safety and soundness evaluations. In addition to the issues of privacy and security, for example, bank examiners will want to know how well the bank's management has elaborated its business plan for electronic banking. A special challenge for regulators will be supervising the functions that are outsourced to third-party vendors.

Suggestion

1. Banks are required to safeguard the confidentiality of their customers' accounts. The RBI has issued a new circular that includes recommendations for reducing the risk of hacking. The banker is responsible for incorporating technological advances in order to perform his or her duties more efficiently. The Reserve Bank of India should also verify that banks are using the most up-to-date technologies. The RBI should hire technicians and tell them to report security breaches in accordance with security rules.

2. The auditor hired to alert the authorities discovered misuse of money at the most minute level. Because of the lack of detection, the risk of bankers misusing money has gone up because of electronic banking.

3. The automatic teller machine (ATM) malfunctions often, causing trouble for the consumer. It must be said how many times banks haven't been fined for making mistakes like this in their next circular. After reaching a certain threshold, banks are required to pay a penalty, which serves as a reminder to them to keep an eye on the machine's operation.

Tips for safe internet banking

Whether it is bill payments, funds transfer or creation of a fixed deposit, internet banking allows you to do it in a fast and convenient way. Instead of going to the bank and waiting in an unending queue, internet banking has made all banking functions accessible through a few clicks. However, this facility needs to be used very carefully due to the risk of phishing – fraudulent means of attaining your confidential banking information.
Listed below are seven smart tips for internet banking.

Change your password regularly

For the first time you login to your internet banking account, you will need to use the password provided by the bank. However, you need to change this password in order to keep your account safe. In addition, keep changing your password at regular intervals. More importantly, keep the password confidential at all times.

- **Do not use public computers to login**

Avoid logging in to your bank account at common computers in cyber cafes or libraries. These are crowded places, and there are more chances of your password being traced or seen by others. If you have to login from such places, make sure you clear the cache and browsing history, and delete all the temporary files from the computer. Also, never allow the browser to remember your ID and password.

- **Do not share your details with anyone**

Your bank will never ask for your confidential information via phone or email. So whether you get an apparent phone call from the bank or an email requesting your details, do not give out your login information. Use your login ID and password only on the official login page of the bank, which should be a secure website. Look for 'https://' in the URL when logging in; it means that the website is secure.

- **Keep checking your savings account regularly**

Check your account after making any transaction online. Verify whether the right amount has been deducted from your account. If you see any discrepancies in the amount, inform the bank immediately.

- **Always use licenced anti-virus software**

To protect your computer from new viruses, ensure that you always use licenced anti-virus software. Pirated versions of anti-virus softwares may be available for free, but they may fail to protect your computer from new viruses prevalent in the online world. In addition, you will get notifications for updates in the software periodically. Make sure that you keep your anti-virus updated, so that your confidential information is always protected.

- **Disconnect the internet connection when not in use**

Most broadband users do not disconnect the internet connection on their computer when they are not using it. Malicious hackers can access your computer via an internet connection and steal your confidential banking information. To keep your data protected, ensure that you disconnect from the internet when you do not require it.

- **Type your internet banking URL**

It is a safer to type your bank URL in the address bar of the browser than clicking on links given in an email. There are instances of fraudsters sending emails with fraudulent websites links that are designed exactly like the bank's original website. Once you enter your login details on such a website, they may be used to access your account and steal your money. While logging on, check for 'https://' in the URL and ensure that it is your bank's authentic website.

Conclusion

While electronic banking can provide a number of benefits for customers and new business opportunities for banks, it exacerbates traditional banking risks. Even though considerable work has been done in some countries in adapting banking and supervision regulations, continuous vigilance and revisions will be essential as the scope of e-banking increases. In particular, there is still a need to establish greater harmonization and coordination at the international level. Moreover, the ease with which capital can potentially be moved between banks and across borders in an electronic environment creates a greater sensitivity to economic policy management. To understand the impact of e-banking on the conduct of economic policy, policymakers need a solid analytical foundation. Without one, the markets will provide the answer, possibly at a high economic cost. Further research on policy-related issues in the period ahead is therefore critical.

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